

CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION**CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET G — FINAL MASTERY & GRAND CHALLENGE TEST (60 MINS)****CHAPTER 08: BUILDING BLOCKS IN ECONOMICS: THE PROBLEM OF CHOICE**

TIME ALLOWED: 60 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-G-08

Student's Name: _____

Roll No.: _____

Class & Section: Class IX - _____

Date of Exam: _____

Invigilator's Sign: _____

General Instructions (SET G - Final Mastery & Grand Challenge Test):

1. The question paper comprises **25 Olympiad / NTSE / Advanced Analytical Multiple Choice Questions** of **1 mark each**.
2. Designed for **Final Curricular Mastery & In-Depth Analytical Rigour**: Target time is **60 Minutes**.
3. All questions are compulsory. There is no negative marking.
4. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

 **GRAND CHALLENGE SPECIAL:** This final assessment tests your multi-disciplinary analytical reasoning across historical source criticism, geomorphological dynamics, constitutional jurisprudence, and microeconomic market equilibria!

Q1. Lionel Robbins formulated the seminal modern definition of economics in 1932. What is the fundamental economic premise underlying his formulation?

- ☐ A Economics is solely the study of how governments accumulate gold bullions in state treasuries ☐ B Human ends (wants) are unlimited and diverse, whereas economic resources (means) to satisfy them are scarce and possess alternative uses, necessitating choice ☐ C Economics assumes that human beings always have unlimited physical resources to satisfy all desires simultaneously ☐ D Economics is strictly the study of industrial manufacturing techniques in factories

Scholarly Concept & Analysis: Robbins defined economics as 'the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses,' placing scarcity and choice at the core of economics.

Q2. On a Production Possibility Frontier (PPF / PPC), why is the boundary typically concave to the origin?

- ☐ A Because total economic resources expand automatically as more goods are manufactured ☐ B Due to the Law of Increasing Marginal Opportunity Cost: as more units of one good are produced, increasingly larger quantities of alternative goods must be sacrificed because resources are not equally efficient in all employments ☐ C Because the market price of goods drops to zero at high production levels ☐ D Because consumer demand remains perfectly constant across all price levels

Scholarly Concept & Analysis: The PPF is concave to the origin because resources are specialized; transferring resources from producing wheat to guns requires shifting less-suited resources, causing Marginal Rate of Transformation (MRT) to rise.

Q3. What does a point located strictly INSIDE (below) a nation's Production Possibility Frontier (PPF) signify?

- ☐ A The economy is operating at unattainable super-efficiency ☐ B Underutilization, unemployment of resources, or technical inefficiency where available factors of production are not being utilized to their full productive potential ☐ C A sudden technological breakthrough that doubled national output overnight ☐ D The total elimination of the problem of scarcity from society

Scholarly Concept & Analysis: Points inside the PPF indicate inefficient allocation or underemployment of resources (such as idle labor or unused factory capacity); full employment places the economy on the frontier itself.

Q4. What structural economic event would cause an entire Production Possibility Frontier (PPF) to shift outward to the right?

- ☐ A A severe natural disaster that destroys 40% of national capital and infrastructure ☐ B Technological innovation, discovery of new natural energy reserves, or substantial human capital accumulation that enhances aggregate productive capacity across all sectors ☐ C An increase in consumer luxury taxes on imported motor vehicles ☐ D A decision by households to save 100% of their income in cash

Scholarly Concept & Analysis: An outward rightward shift of the PPF represents economic growth: an increase in productive capacity caused by technological progress, increased capital stock, or an expanded, better-skilled labor force.

Q5. Which of the following illustrates the economic concept of 'Opportunity Cost'?

- ☐ A The monetary amount printed on the price tag of a consumer item ☐ B The value of the next best alternative foregone or sacrificed when an economic decision or choice is made ☐ C The accounting cost of raw materials plus factory electricity bills ☐ D The total profit earned by an entrepreneur in a financial year

Scholarly Concept & Analysis: Opportunity cost is not the accounting expense, but the value of the foregone alternative opportunity sacrificed when choosing one option over another.

Q6. What are the three fundamental questions that every economic system must resolve due to universal resource scarcity?

- ☐ A Where to build banks, When to conduct audits, and Who pays income taxes ☐ B What to produce (and in what quantities), How to produce (choice of technique - labour vs capital intensive), and For whom to produce (distribution of national product among households) ☐ C How to print currency notes, When to declare war, and Why to regulate foreign travel ☐ D What language to teach, Where to construct roads, and How to measure rainfall

Scholarly Concept & Analysis: Every economy faces three central allocation problems: What goods to produce (allocation among goods), How to produce (labour-intensive vs capital-intensive), and For whom to produce (income distribution).

Q7. In a pure 'Free Market Economy' (Laissez-faire / Capitalist system), how are the central problems of what, how, and for whom to produce resolved?

- ☐ A Through centralized five-year plans dictated by a supreme planning commission ☐ B Through the decentralized Price Mechanism (the 'Invisible Hand') where interacting market forces of demand and supply determine relative prices, profits, and resource allocation ☐ C Through democratic referendums where citizens vote on daily commodity quotas ☐ D Through hereditary royal decrees issued by the sovereign monarch

Scholarly Concept & Analysis: In a free market, Adam Smith's 'invisible hand' coordinates activity: price signals (profit incentives and consumer sovereignty) guide producers on what to make, how to make it, and who receives it.

Q8. What distinguishes 'Physical Capital' from 'Human Capital' in the factors of production?

- ☐ A Physical capital consists of paper currency notes, while human capital is gold ornaments ☐ B Physical capital comprises man-made tangible durable assets (machinery, factory buildings, transport equipment), whereas human capital represents the knowledge, technical skills, health, and productive capabilities embodied in human beings ☐ C Physical capital depreciates, whereas human capital never requires any investment ☐ D Physical capital is owned exclusively by governments, while human capital is owned by foreign banks

Scholarly Concept & Analysis: Physical capital refers to tangible tools and machines. Human capital represents the intangible stock of skills, education, expertise, and health embodied in the workforce that enhances productivity.

Q9. In economics, how is the factor of production 'Land' distinct from 'Capital'?

- ☐ A Land is a man-made produced means of production, whereas capital is provided free by nature ☐ B Land encompasses all natural resources and primary gifts of nature (soil, water, mineral deposits, forests) whose aggregate supply is relatively fixed, whereas capital is a man-made, reproducible factor of production ☐ C Land yields interest as its factor reward, whereas capital yields economic rent ☐ D Land can be moved across borders freely, whereas capital is geographically immovable

Scholarly Concept & Analysis: Land comprises all gifts of nature whose aggregate supply is fixed and irreproducible, earning rent. Capital is man-made tools and equipment produced by past human labour, earning interest.

Q10. What is 'Joseph Schumpeter's Theory of Creative Destruction' regarding the role of the Entrepreneur?

- ☐ A Entrepreneurs deliberately destroy agricultural crops to inflate food prices ☐ B Entrepreneurs act as dynamic innovators who introduce new products, production processes, and market combinations, rendering obsolete and replacing older, inefficient economic structures and firms ☐ C Entrepreneurs avoid all technological risk and maintain absolute status quo ☐ D Entrepreneurs are government inspectors appointed to audit municipal budgets

Scholarly Concept & Analysis: Schumpeter argued that dynamic entrepreneurs drive capitalist growth through innovation (creative destruction), introducing superior methods that replace outdated legacy industries.

Q11. Why does a nation with abundant, highly educated human capital experience a 'Virtuous Cycle' of economic development?

- ☐ A Because educated citizens consume zero food and require no public housing ☐ B Educated and healthy parents invest heavily in the education and health of their children, creating multi-generational productivity gains, technological innovation, and higher national income ☐ C Because human capital eliminates the need for physical machinery in factories ☐ D Because international banks exempt educated countries from paying foreign debt

Scholarly Concept & Analysis: Human capital creates self-reinforcing virtuous cycles: higher education and health boost productivity and earnings, enabling higher household investment in future generations' development.

Q12. What is 'Marginal Rate of Transformation' (MRT) in production analysis?

- ☐ A The speed at which a delivery truck travels between warehouses ☐ B The quantity of one commodity that must be sacrificed to produce one additional unit of another commodity along a given Production Possibility Frontier ($\Delta Y / \Delta X$) ☐ C The interest rate charged by commercial banks on corporate overdraft loans ☐ D The ratio of paper currency notes to gold coins in the central bank vault

Scholarly Concept & Analysis: MRT ($\Delta Y / \Delta X$) measures the opportunity cost of producing an extra unit of good X in terms of units of good Y sacrificed, reflecting the slope of the PPF at that point.

Q13. In economic theory, how does 'Working Capital' differ from 'Fixed Capital' within physical capital?

- ☐ A Fixed capital is used up completely in a single production cycle (e.g., seeds, raw yarn, fuel), while working capital lasts for decades (e.g., steam turbines, factory premises) ☐ B Fixed capital comprises durable tools, machinery, and buildings used repeatedly over multiple years of production, while working capital consists of raw materials and ready money exhausted in the current production cycle ☐ C Fixed capital can only be bought with foreign currency, working capital with coins ☐ D Working capital is legally exempt from all corporate taxation

Scholarly Concept & Analysis: Fixed capital consists of long-lasting assets (tools, buildings, machines) reused over many years. Working capital consists of single-use inputs (raw materials, cash on hand) consumed in the process.

Q14. What constitutes the fundamental distinction between 'Positive Economics' and 'Normative Economics'?

- ☐ A Positive economics deals with objective facts, cause-and-effect relationships, and 'what is' (testable empirically), while normative economics involves value judgments, ethical ideals, and 'what ought to be' ☐ B Positive economics is practiced only in democratic nations, while normative economics is used in communist states ☐ C Positive economics deals with profits, while normative economics deals with losses ☐ D Positive economics relies on astrology, while normative economics relies on mathematics

Scholarly Concept & Analysis: Positive economics analyzes objective statements verifiable by empirical evidence ('unemployment is 6%'). Normative economics involves subjective value judgments ('unemployment ought to be reduced').

Q15. In a 'Centrally Planned (Socialist) Economy', who primarily makes decisions regarding resource allocation and production targets?

- ☐ A Individual consumers bidding in open competitive stock exchanges ☐ B A Central Planning Authority (the Government) based on overarching collective social welfare objectives rather than private individual profit maximization ☐ C Foreign retail supermarket conglomerates operating overseas ☐ D Commercial banks competing against each other for deposit interest

Scholarly Concept & Analysis: In a centrally planned economy, the state/central planning commission determines production quotas, resource distribution, and pricing according to predetermined socio-economic priorities.

Q16. What is the defining characteristic of a 'Mixed Economy', such as the economic framework adopted by post-independence India?

- ☐ A The complete absence of both private property and state regulation ☐ B The coexistence of both the Public Sector (state-owned enterprises in strategic/core sectors) and the Private Sector (market-driven private enterprise), operating within a regulatory framework ☐ C An economy that permits only agricultural bartering without any paper money ☐ D An economy managed by rotating military committees every three years

Scholarly Concept & Analysis: A mixed economy combines market capitalism and state socialism: basic and heavy industries are steered by the public sector, while agriculture and consumer goods flourish in the private sector.

Q17. Why is the economic concept of 'Scarcity' considered universal, affecting affluent nations as well as developing economies?

- ☐ A Because even in the wealthiest countries, aggregate human desires and potential uses for resources invariably exceed the finite available supply of productive factors, time, and technological resources ☐ B Because high-income nations run out of paper currency every winter ☐ C Because rich countries ban commercial imports of food products ☐ D Because scarcity is an artificial myth created by private corporations

Scholarly Concept & Analysis: Scarcity is relative, not absolute poverty: human wants are essentially boundless, while physical resources and time remain strictly finite, making choice universal for individuals and nations.

Q18. In economics, how does 'Specialisation and Division of Labour' (as famously analyzed by Adam Smith in his Pin Factory example) enhance aggregate productivity?

- ☐ A By forcing every worker to manufacture an entire product from scratch without tools ☐ B By decomposing a complex production process into discrete specialized sub-tasks, allowing workers to build dexterity, eliminating time lost shifting tools, and enabling mechanical automation ☐ C By increasing the number of holidays granted to factory labourers ☐ D By mandating that all goods be produced exclusively by manual hand stitching

Scholarly Concept & Analysis: Smith showed that breaking pin-making into 18 distinct operations dramatically multiplied output per worker due to increased skill, reduced task-switching latency, and specialized tool usage.

Q19. What is 'Depreciation' in the context of capital goods?

- ☐ A The annual interest paid by commercial banks on savings accounts ☐ B The gradual loss in physical value and productive efficiency of fixed capital assets over time due to wear and tear, age, and technological obsolescence ☐ C The increase in market price of real estate properties during inflation ☐ D The legal tax penalty imposed on corporate polluters

Scholarly Concept & Analysis: Depreciation represents the consumption or loss of value of fixed capital over its useful life resulting from physical wear and tear, operational fatigue, or technological obsolescence.

Q20. What is the economic role of 'Factor Payments' in the circular flow of income?

- ☐ A They are arbitrary taxes paid by consumers to municipal corporations ☐ B They represent the compensation paid by production firms to households for supplying factor services: Rent for Land, Wages for Labour, Interest for Capital, and Profit for Entrepreneurship ☐ C They are subsidies given by foreign governments to import wheat ☐ D They are welfare pensions paid exclusively to retired soldiers

Scholarly Concept & Analysis: Factor payments are the earnings received by owners of factors of production in exchange for factor services: land earns rent, labour earns wages, capital earns interest, and enterprise earns profit.

Q21. Which criterion indicates that a production technique is 'Labour-Intensive' rather than 'Capital-Intensive'?

- ☐ A It uses a higher ratio of labor relative to capital (machinery and automated technology) to generate a given level of output ☐ B It relies 100% on imported computer mainframes with zero human intervention ☐ C It pays zero wages to workers during the manufacturing process ☐ D It operates exclusively during nighttime hours

Scholarly Concept & Analysis: A labour-intensive technique employs relatively more labour units per unit of capital (\$L/K\$ ratio is high), making it economically optimal in economies with abundant, low-cost labour supplies.

Q22. What is 'Consumer Sovereignty' in a free market economy?

- ☐ A The legal right of consumers to arrest factory owners for making defective goods ☐ B The economic principle that consumer spending preferences dictate what producers will manufacture, as producers follow consumer dollar votes to maximize profits ☐ C A government decree mandating that all citizens purchase identical clothing ☐ D The immunity of consumers from paying retail sales taxes

Scholarly Concept & Analysis: Consumer sovereignty posits that the consumer is the ultimate economic arbiter: spending patterns act like 'dollar votes', signaling to firms which commodities are in demand and profitable to supply.

Q23. Why does investment in 'On-the-Job Training' and 'Adult Skill Reskilling' constitute an essential component of human capital formation?

- ☐ A It replaces the need for basic elementary schooling completely ☐ B It upgrades workers' technological competencies, adapts them to modern industrial processes, and prevents structural unemployment caused by technological progress ☐ C It guarantees that workers will never demand wage increases ☐ D It converts physical factory buildings into residential housing

Scholarly Concept & Analysis: On-the-job training enhances labor productivity, bridges technical skill gaps, and equips the labor force to operate advancing technologies, driving higher total factor productivity.

Q24. What does 'Pareto Efficiency' (or Pareto Optimality) mean in welfare economics?

- ☐ A An economic state where every citizen possesses identical mathematical income ☐ B An allocation of resources where it is impossible to make any one individual better off without making at least one other individual worse off ☐ C A situation where government tax revenue equals zero ☐ D An economy where 100% of national product is consumed by foreign tourists

Scholarly Concept & Analysis: An allocation is Pareto efficient when all gains from trade and production are exhausted, such that no reallocation can improve one person's welfare without diminishing someone else's.

Q25. How does 'Capital Accumulation' (or Net Capital Formation) drive long-term economic growth?

- ☐ A By locking all gold bars inside underground vaults indefinitely ☐ B By allocating a portion of current national output to producing new machinery, infrastructure, and factories rather than immediate consumption, expanding future aggregate productive capacity ☐ C By printing more paper banknotes to increase money supply during festivals ☐ D By abolishing all international trade tariffs permanently

Scholarly Concept & Analysis: Net capital formation involves sacrificing some current consumption to build capital goods (machines, transit, power plants), raising the capital-labor ratio and shifting future PPF outward.

CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET G)

01	A B C D	02	A B C D	03	A B C D	04	A B C D	05	A B C D
06	A B C D	07	A B C D	08	A B C D	09	A B C D	10	A B C D
11	A B C D	12	A B C D	13	A B C D	14	A B C D	15	A B C D
16	A B C D	17	A B C D	18	A B C D	19	A B C D	20	A B C D
21	A B C D	22	A B C D	23	A B C D	24	A B C D	25	A B C D

Total Questions Attempted: ____ / 25

Marks Obtained: ____ / 25

Evaluator's Signature: _____

OFFICIAL ANSWER KEY & IN-DEPTH SCHOLARLY EXPLANATIONS (SET G)

Q. No.	Correct	Curricular Concept & Scholarly Analysis
1	B	Robbins defined economics as 'the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses,' placing scarcity and choice at the core of economics.
2	B	The PPF is concave to the origin because resources are specialized; transferring resources from producing wheat to guns requires shifting less-suited resources, causing Marginal Rate of Transformation (MRT) to rise.
3	B	Points inside the PPF indicate inefficient allocation or underemployment of resources (such as idle labor or unused factory capacity); full employment places the economy on the frontier itself.
4	B	An outward rightward shift of the PPF represents economic growth: an increase in productive capacity caused by technological progress, increased capital stock, or an expanded, better-skilled labor force.
5	B	Opportunity cost is not the accounting expense, but the value of the foregone alternative opportunity sacrificed when choosing one option over another.
6	B	Every economy faces three central allocation problems: What goods to produce (allocation among goods), How to produce (labour-intensive vs capital-intensive), and For whom to produce (income distribution).
7	B	In a free market, Adam Smith's 'invisible hand' coordinates activity: price signals (profit incentives and consumer sovereignty) guide producers on what to make, how to make it, and who receives it.
8	B	Physical capital refers to tangible tools and machines. Human capital represents the intangible stock of skills, education, expertise, and health embodied in the workforce that enhances productivity.
9	B	Land comprises all gifts of nature whose aggregate supply is fixed and irreproducible, earning rent. Capital is man-made tools and equipment produced by past human labour, earning interest.
10	B	Schumpeter argued that dynamic entrepreneurs drive capitalist growth through innovation (creative destruction), introducing superior methods that replace outdated legacy industries.
11	B	Human capital creates self-reinforcing virtuous cycles: higher education and health boost productivity and earnings, enabling higher household investment in future generations' development.
12	B	MRT ($-\Delta Y / \Delta X$) measures the opportunity cost of producing an extra unit of good X in terms of units of good Y sacrificed, reflecting the slope of the PPF at that point.
13	B	Fixed capital consists of long-lasting assets (tools, buildings, machines) reused over many years. Working capital consists of single-use inputs (raw materials, cash on hand) consumed in the process.
14	A	Positive economics analyzes objective statements verifiable by empirical evidence ('unemployment is 6%'). Normative economics involves subjective value judgments ('unemployment ought to be reduced').
15	B	In a centrally planned economy, the state/central planning commission determines production quotas, resource distribution, and pricing according to predetermined socio-economic priorities.
16	B	A mixed economy combines market capitalism and state socialism: basic and heavy industries are steered by the public sector, while agriculture and consumer goods flourish in the private sector.
17	A	Scarcity is relative, not absolute poverty: human wants are essentially boundless, while physical resources and time remain strictly finite, making choice universal for individuals and nations.
18	B	Smith showed that breaking pin-making into 18 distinct operations dramatically multiplied output per worker due to increased skill, reduced task-switching latency, and specialized tool usage.
19	B	Depreciation represents the consumption or loss of value of fixed capital over its useful life resulting from physical wear and tear, operational fatigue, or technological obsolescence.

Q. No.	Correct	Curricular Concept & Scholarly Analysis
20	B	Factor payments are the earnings received by owners of factors of production in exchange for factor services: land earns rent, labour earns wages, capital earns interest, and enterprise earns profit.
21	A	A labour-intensive technique employs relatively more labour units per unit of capital (\$L/K\$ ratio is high), making it economically optimal in economies with abundant, low-cost labour supplies.
22	B	Consumer sovereignty posits that the consumer is the ultimate economic arbiter: spending patterns act like 'dollar votes', signaling to firms which commodities are in demand and profitable to supply.
23	B	On-the-job training enhances labor productivity, bridges technical skill gaps, and equips the labor force to operate advancing technologies, driving higher total factor productivity.
24	B	An allocation is Pareto efficient when all gains from trade and production are exhausted, such that no reallocation can improve one person's welfare without diminishing someone else's.
25	B	Net capital formation involves sacrificing some current consumption to build capital goods (machines, transit, power plants), raising the capital-labor ratio and shifting future PPF outward.